



“OFFER MORE SOPS FOR THE NEW TAX REGIME”

Dinesh Kanabar, CEO of Dhruva Advisors, on the tax-related measures expected in the Budget, reforms, and more

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WITH THE BUDGET

set to be announced on February, there is a lot of speculation over the potential changes to the tax structure, with increasing demand from taxpayers for some relief. Dinesh Kanabar, Chief Executive Officer of professional services firm Dhruva Advisors, speaks to *Business Today* on what needs to be done, how taxes can be simplified and compliance burden eased. Edited excerpts:

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From a tax point of view, what are the broad areas that the government should address in this year's Budget?

When the Finance Minister presents the Budget for 2025-26, there will be significant expectations in direct taxes. This is particularly relevant because in last year's Budget, she explicitly stated that simplification

of tax laws was high on the government's agenda.

In that Budget, several changes were made to simplify the capital gains tax regime. Following this, suggestions were invited from the chambers of commerce, professional bodies, firms, and taxpayers on what they would like to see in the tax laws in terms of simplification. Since then, over a thousand presentations have been received, suggesting a wide range of changes. It will be interesting to observe how many of these will be incorporated in the upcoming Budget and how many are deferred for future implementation.

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What are the critical areas that need to be addressed in terms of changes to the Income Tax Act?

Three key objectives stand out: simplification of laws to provide

certainty for taxpayers, addressing mounting litigation, and facilitating ease of compliance to minimise growing compliance costs. These are critical for building trust between taxpayers and the revenue department.

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What can really be done when it comes to simplification of laws?

Over time, the tax laws have become cumbersome with each section having sub-sections, explanations, provisos, etc. Besides, the drafting of several sections leave a lot to be desired, making the law susceptible to multiple interpretations. Now, the fact is each officer can interpret the law differently and that means a lack of certainty on interpretation.

Taxpayers would rather have a higher rate of tax but want certainty of liability. This becomes a major

challenge, especially when it comes to foreign investors. Clearly, any attempt to simplify the language of the law is a welcome move. It is not difficult to understand why taxpayers are opting not to choose a tax regime without deductions and exemptions, but one with a greater degree of certainty. I expect the government will provide greater incentives to individuals to opt for the new tax regime.

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The issue of tax litigation has only got more complex...

Tax litigation is not new and does come up year after year. However, it has now taken on greater significance on account of the growing backlog at the appellate level. Substantial additions made during assessments have burdened taxpayers with a requirement to pay 20% of the demand while